EDP Renovaveis (EDPR.LS) - Relative Valuation Report

Valuation date: 2026-10-30 | Mode: relative_only deviation (no DCF, no stage 2/4) | Status: PROVISIONAL

1. Valuation summary

Item	Value
Currency	EUR (reporting FY2025: EUR millions)
Current price (close 2026-10-30)	12.50
Primary multiple (comparables)	EV/EBITDA (bucket-B renewable developer/operator); peer median 11.99x, n = 10
Comparables, p25 - median - p75 per share	0.53 - 3.92 - 6.49
Median vs price	3.92 vs 12.50 = -68.6% (vendor EBITDA basis; see warning)
Issuer-EBITDA sensitivity (median)	12.52 vs 12.50 = +0.2%
Regression estimate per share	16.45 (published EUROPE regression, chosen model: PBV, R2 = 0.423)
Regression vs price	16.45 vs 12.50 = +31.6%

Peer-multiple cross-checks (medians, per share): PE 4.48; PBV ROE-scaled 4.59 (raw 20.07); EV/CF 3.68; EV/Assets 16.07; EV/Sales 3.92; PS 4.48. Published EUROPE regressions: PE (R2 0.201) 5.48; EV/EBITDA (R2 0.262) 14.10. Peer multiples read EDPR cheap on earnings/book (EUR 3.9-4.6) except asset-based 16.07; published equations read it cheap on PBV (16.45) and EV/EBITDA (14.10) but rich on PE (5.48). No football-field chart was generated in this run.

EBITDA-definition warning (material): vendor FY2025 EBITDA (1,187m) excludes equity-method and institutional-partnership income that issuer EBITDA (1,947m reported / 1,974m recurring) includes, while EDPR's EV carries the matching claims (NCI 1,906m, deferred partnership revenues). The vendor-basis EV/EBITDA headline (3.92/share) is biased low; issuer-basis sensitivity gives ~12.6, near the 12.50 price. Both retained; deferred institutional-partnership revenues are not deducted as a debt-like claim in either variant (recorded limitation).

No intrinsic (DCF) estimate is produced under the relative_only deviation; stages 1, 2 and 4 are marked skipped_by_deviation in run_state.json.

2. Peer set (10 of 10 selected at the Europe step)

Name	Ticker	Country	Tier	EV/EBITDA / PBV
Orsted	ORSTED	Denmark	1	EVEBITDA 11.0 / PBV 1.2
RWE	RWE	Germany	2	EVEBITDA 27.1 / PBV 1.2
E.ON	EOAN	Germany	2	EVEBITDA 13.0 / PBV 2.6
SSE	SSE	United Kingdom	2	EVEBITDA 14.7 / PBV 2.6
ERG	ERG	Italy	1	EVEBITDA 10.6 / PBV 1.6
Solaria	SLR	Spain	1	EVEBITDA 13.0 / PBV 2.7
Grenergy	GRE	Spain	1	EVEBITDA 15.7 / PBV 4.3
Acciona Energia	ANE	Spain	1	EVEBITDA 8.0 / PBV 1.2
ENGIE	ENGI	France	2	EVEBITDA 8.1 / PBV 1.7
Enel	ENEL	Italy	2	EVEBITDA 8.4 / PBV 2.9

Composition: 10 peers Tier 1-2 (5 renewable IPPs, 5 integrated utilities), 10/10 Europe-listed - all requirements met at the first (strictest) selection step; no size-band or region relaxation. Pool of 34 candidates + 1 parent evidence row built from issuer-named competitors, sector_adjustments Tier-1 seeds and own research.

Exclusions documented: EDP (~71% parent, hard gate); NEOEN/OX2/IREN/HERA (uniform web source unavailable); EKT/PNE3 (below EUR 1bn); AY/BLX/INE (no common 2026-10-30 price date); ORA (US-listed, kept for World relaxation that was never reached).

EDPR vs peer medians: ROE 2.1% vs ~10%; fundamental growth 1.7% vs ~4%; net debt/EBITDA 6.9x vs ~4.1x; EBITDA margin 52% vs ~28%; capex/sales 124% vs ~37% - low-return, high-leverage, high-reinvestment profile, consistent with scaled-multiple discounts.

3. Method notes and caveats

- Comparable companies: similarity scoring on 8 dimensions; pool-only 5/95% winsorization; Europe step feasible at default caps; per-share values in EUR on uniform vendor FY2025 fundamentals; EV basis = before associates (peers and target inverse both exclude the associates adjustment).
- Primary multiple: EV/EBITDA; min_valid = 6 per standing approval (ev_cf n = 9, all others 10; peg n = 5 excluded).
- Published regressions: Damodaran regressions_multi_2026-01, EUROPE equations, decimal unit policy for DFR/tax (user-approved). EV/EBITDA percent-point alternative gives predicted 12.37x vs 21.09x decimal (41% divergence); decimal policy applied, both recorded. Chosen model = highest published R2 (PBV).
- Regression inputs: beta 0.72 (5Y observed); g_eps 20.42% and g_rev 8.51% analyst consensus (sourced); ROE 0.021 closing book; payout 0.61 proposed-dividend basis (0.40 recurring policy, sensitivity shown); dfr 0.416; effective tax 0.3537; roic 0.0106.
- Caveats: (a) regression file ~10 months older than valuation date; (b) published file gives no n, SEy or p-values - residual-band/diagnostic fields n/a_published_route; (c) GLOBAL-equation sign warnings recorded at stage 0, EUROPE equations unaffected but noted; (d) market-wide equations, low R2 - deviation is not proof of mispricing.
- QA block C: PROVISIONAL - human Spot_check PENDING (recorded, not claimed); ISIN issuer-page verification PENDING; ownership/event audit outstanding. EV-to-equity inverse check passed (associates = 0 on both sides). No failures; two warned items disclosed.
- Data route: stockanalysis.com uniform web route (profile/statistics/financials/history); all figures from the 2026-10-30 cache and fetched candidate tables; vendor figures cross-checked against the EDPR FY25 Results Report (equity exact match; NI within 0.1%; EBITDA/revenue definition differences documented).

4. Sources

- Market data: cache/market/2026-10-30/ (universe.csv = IEUR MSCI Europe IMI proxy; per-candidate EDPRpool_* fetches in candidates/; fetch_manifest.json).
- Macro/FX: cache/macro/2026-10-30.json (ECB FX snapshot; Bund 10y; mature ERP).
- Company fundamentals: EDPR FY25 Results Report (EBITDA 1,947m reported / 1,974m recurring; NI 216m; net debt 8,109m; equity 10,274m; proposed dividend EUR 132.09m) via relative_inputs.md, cross-checked vs vendor extracts.
- Vendor route: stockanalysis.com eli/EDPR and per-candidate pages (fetched 2026-10-30/11-01).
- Published regressions: Damodaran regressions_multi_2026-01 (EUROPE), PE / PBV / EV/EBITDA equations, sha256 a894ea86...
- Working files: outputs/EDPR.LS_2026-10-30/relative/ (comparables.csv, multiples_summary.csv, comparables_audit.xlsx, regression_valuation.xlsx with live formulas, qa_results.md, source_log.csv).

Academic analysis produced by an automated valuation agent. Not investment advice. All figures cited from the files listed in section 4; nothing recomputed for this report.